

## 1-3 The Accounting Equation

The resources owned by a business are its

Objective 3 - State the accounting equation and define each element of the equation.

**assets** (The resources owned by a business.) . Examples of assets include cash, land, buildings, and equipment. The rights or claims to the assets are divided into two types: (1) the rights of creditors and (2) the rights of owners. The rights of creditors are the debts of the business and are called

**liabilities** (The rights of creditors that represent debts of the business.) . The rights of owners are called **equity** (The rights of the owners of a business.) . Since stockholders own a corporation, equity is called

**stockholders' equity** (The ownership rights of stockholders in a corporation; the stockholders' rights to the assets in a corporation.)

. For a proprietorship, partnership, or limited liability company, equity is called

**owner's equity** (The equity for a proprietorship, partnership, or a limited liability company.) .

The following equation shows the relationship among assets, liabilities, and equity:

$$\mathbf{Assets = Liabilities + Equity}$$

This equation is called the

**accounting equation** (The equation that shows the relationship among assets, liabilities, and equity; expressed as Assets = Liabilities + Equity.)

. Liabilities usually are shown before equity in the accounting equation because creditors have first rights to the assets.

Throughout this text, we use the corporate form of business. However, most of the concepts and principles described and illustrated also apply to proprietorships, partnerships, and limited liability companies.

Given any two amounts, the accounting equation may be solved for the third unknown amount. To illustrate, if the assets owned by a corporation amount to \$100,000 and the liabilities amount to \$30,000, the stockholders' equity is equal to \$70,000, computed as follows:

$$\begin{array}{rcl} \mathbf{Assets} & - & \mathbf{Liabilities} = \mathbf{Stockholders' Equity} \\ \$100,000 & - & \$30,000 = \$70,000 \end{array}$$

[Link to Twitter](#)

**Twitter's** accounting equation for a recent year is:

**Assets (\$10,163 million) = Liabilities (\$3,357 million) + Stockholders' Equity (\$6,806 million).**

The accounting equation is useful for reporting the financial condition and changes in financial condition of a company. For this reason, the accounting equation serves as the basis for designing financial accounting and reporting systems.

Chapter 1: Introduction to Accounting and Business: 1-3 The Accounting Equation

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